

# **EPEX SPOT Intraday Continuous Market — Trading Rules & Procedures**

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### **DE-LU Bidding Zone — Quarter-Hourly Products**

**Version 4.2 — Effective 1 October 2025**

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## **1. Market Overview & Regulatory Framework**

### **1.1 Legal Basis**

- **EU Regulation 2019/943** (Electricity Regulation): Establishes rules for cross-border electricity trading
- **Commission Regulation 2015/1222** (CACM): Capacity Allocation and Congestion Management guideline
- **REMIT Regulation 2024/1106**: Wholesale Energy Market Integrity and Transparency (revised)
- **EPEX SPOT Exchange Rules**: Approved by BaFin (German Federal Financial Supervisory Authority)
- **Clearing**: ECC (European Commodity Clearing) acts as central counterparty

### **1.2 Market Operator**

- **Exchange**: EPEX SPOT SE, Paris (registered in France)
- **Trading system**: M7 (proprietary matching engine)
- **Clearing house**: European Commodity Clearing AG (ECC), Leipzig
- **Regulatory oversight**: BaFin (DE), AMF (FR), ACM (NL), E-Control (AT)

### **1.3 Bidding Zone: DE-LU**

- **Coverage**: Germany + Luxembourg (merged bidding zone since 1 October 2018)

- **TSOs:** 50Hertz, Amprion, TenneT DE, TransnetBW
  - **Delivery points:** Virtual trading point (no physical nomination required for financial settlement)
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## 2. Trading Products

### 2.1 Quarter-Hourly Products (QH) — Primary Product

| Parameter          | Specification                                          |
|--------------------|--------------------------------------------------------|
| Product duration   | 15 minutes                                             |
| Products per day   | 96                                                     |
| Naming convention  | QH-01 (00:00-00:15) through QH-96 (23:45-00:00)        |
| Minimum order size | 0.1 MW                                                 |
| Maximum order size | 9,999.9 MW                                             |
| Tick size          | 0.1 MW (volume), 0.01 EUR/MWh (price)                  |
| Price range        | -9,999.00 to +9,999.00 EUR/MWh                         |
| Trading start      | D-1 at 15:00 CET (day-ahead auction results published) |
| Gate closure       | 5 minutes before delivery start                        |
| Settlement         | Physical delivery + financial settlement via ECC       |

### 2.2 Half-Hourly Products (HH)

| Parameter        | Specification                            |
|------------------|------------------------------------------|
| Product duration | 30 minutes                               |
| Products per day | 48                                       |
| Composition      | Combination of 2 consecutive QH products |
| Trading start    | D-1 at 15:00 CET                         |
| Gate closure     | 5 minutes before delivery start          |

### 2.3 Hourly Products (H)

| Parameter        | Specification                            |
|------------------|------------------------------------------|
| Product duration | 60 minutes                               |
| Products per day | 24                                       |
| Composition      | Combination of 4 consecutive QH products |
| Trading start    | D-1 at 15:00 CET                         |
| Gate closure     | 5 minutes before delivery start          |

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## 3. Order Types

### 3.1 Limit Order

- Standard order with price and volume
- Rests in order book until matched, cancelled, or expired
- Time-in-force: GTC, GTD, IOC, FOK

### 3.2 Market Order

- Executes immediately at best available price
- No price limit; fills against resting limit orders
- Risk: may execute at unfavorable price in thin markets

### 3.3 Iceberg Order

- Only a portion (clip size) visible in order book
- Remaining volume hidden; replenishes as clips are filled
- Minimum clip size: 1 MW

### 3.4 User-Defined Block Order

- Linked orders across multiple delivery periods
  - All-or-nothing execution
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## 4. Matching & Priority Rules

### 4.1 Price-Time Priority (Continuous Matching)

1. Price priority: Best price always matched first (highest buy, lowest sell)
2. Time priority: At same price, earliest order matched first (FIFO)
3. No pro-rata: Strict FIFO at each price level

### 4.2 Cross-Border Matching (XBID / SIDC)

- Orders in DE-LU can match against orders in other SIDC-connected bidding zones
  - Condition: Available Transfer Capacity (ATC) must exist on the relevant border
  - Connected zones: AT, FR, NL, BE, CH, DK1, DK2, NO, SE, PL, CZ
  - Local orders have priority over cross-border at same price
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## 5. Price Indices

### 5.1 ID3 Index

- Definition: Volume-weighted average price of all trades in last 3 hours before gate closure
- Calculation:  $ID3 = \frac{\sum(\text{Price}_i \times \text{Volume}_i)}{\sum(\text{Volume}_i)}$  for trades in [GC-3h, GC]
- Use: Reference price for balancing group settlement

### 5.2 IDFull Index

- Definition: Volume-weighted average of ALL trades for a delivery period
  - Publication: After gate closure
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## 6. Gate Closure Times (DE-LU)

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| Market                      | Gate Closure   |
|-----------------------------|----------------|
| Intraday continuous (local) | D, H-5min      |
| Intraday continuous (XBID)  | D, H-60min     |
| Intraday auction (IDA1)     | D-1, 15:00 CET |
| Intraday auction (IDA2)     | D-1, 22:00 CET |
| Intraday auction (IDA3)     | D, 10:00 CET   |

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## 7. Fees

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| Fee Type          | Amount       | Basis                   |
|-------------------|--------------|-------------------------|
| Transaction fee   | 0.04 EUR/MWh | Per executed MWh        |
| Annual membership | 25,000 EUR   | Per trading participant |
| ECC clearing fee  | 0.01 EUR/MWh | Per cleared MWh         |

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## 8. REMIT II Compliance

- Transaction reporting: All trades reported to ACER within T+1 business day
- Order reporting: All orders (including cancelled) reported to ACER
- Inside information: Must be disclosed on REMIT platform before trading
- Algorithmic trading: Must be documented, tested, and auditable
- Penalties: Up to 500,000 EUR per violation or 10x profit gained
- Record keeping: All orders and trades retained for 5 years